

HOUSE BILL 423

By Marsh

AN ACT to amend Tennessee Code Annotated, Title 43,
Chapter 16, Part 1 and Section 67-4-102, relative
to subsidiaries of agricultural cooperative
associations.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 43-16-148, is amended by deleting
the section and substituting:

All business entities, as defined in § 43-38-103, organized as subsidiaries and
controlled by one (1) or more agricultural cooperative associations formed in accordance
with the laws of this state shall not be considered as entities organized for profit and
doing business in this state, or subject to a privilege tax levied by any law as a tax for the
privilege of doing business for profit in this state. It is the legislative intent to exempt by
this section subsidiary entities controlled by agricultural cooperative associations, where
any profits earned by the subsidiary entities are paid over to or expended for the benefit
of the agricultural cooperative associations, with the result that the activities carried on
by the subsidiary entities eventually promote and benefit the agricultural interests of this
state.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.